Etel Delivery & Ride: investor presenter guide

Written from what is built and how the calculator really works. Figures marked "assumed" are illustrations, not results.

1. The story in one minute

Hawassa still moves people and goods by phone calls, cash and guesswork. Etel built one platform for it: rider, driver, courier, service-giver apps and an admin control room, already working. We are raising money in three stages to launch and grow it. The raise pays for growth first (marketing, driver bonuses, referral rewards, rider discounts), not for salaries. Investors hold **Profit Shares**: a right to a part of the net profit, with a boost until their money is paid back. No profit means no payout, and investors never owe anything back.

2. The deal in plain words

Stage	Price / share	Shares	Raises	Opens
1	ETB 1,000	400	ETB 400,000	Open now
2	ETB 1,500	600	ETB 900,000	At 400 trips a day
3	ETB 2,000	1,000	ETB 2,000,000	At 1,000 trips a day

- Total investor pool: 2,000 shares = 20% of net profit. The founder side keeps the other 80%.
- A share is a **profit-share right, not company ownership**. Say this early and clearly.
- Why stages: the price rises as the business proves itself. Stage 1 investors take the most risk and pay the least. A Stage 3 investor pays double for the same slice of profit, so the stage price is the fair "reward for being early".

3. How an investor earns (the calculator, step by step)

1. Company income for the month = commission on trips (+ delivery order income if switched on).
2. Minus running costs = **net profit**. If it is zero or negative, nobody is paid.
3. 20% of net profit goes into the investor pool. Each investor gets their share of the 2,000-share pool.
4. **Boost:** until an investor has received back what they paid, their share counts 2.5 times. After payback it counts 1 time (standard).

Worked example (net profit ETB 100,000 in a month; investor holds 100 shares, paid ETB 100,000 at Stage 1):

Step	ETB
Pool = 20% of 100,000	20,000
Their slice = 100 / 2,000 of the pool	1,000
Boosted ×2.5 (until paid back)	**2,500**
After payback (×1)	1,000

> **Rule of thumb:** 100 shares = 2.5% of net profit while boosted, 1% after payback.

The hidden rule you must know: unsold shares

The calculator also has an "unsold-share bounce". Shares nobody has bought yet would have earned the boosted rate; **half of that goes to the investors who already hold shares** (pro rata) and half stays with the founder. While only Stage 1 is sold (400 of 2,000 shares) this is large: in the same example, the investor above would receive about **ETB 7,500** in the month (2,500 + 5,000 bounce), and all investors together 30% of net profit instead of 10%. As more stages sell, the bounce shrinks to nothing.

> **Decision made: we keep this rule.** It is now explained on the deal sheet (English and Amharic), in the signed declaration and on the pitch slide "How investors earn". A draft clause for the Agreement is in the separate file *ETEL_Agreement_Clause_Unsold_Shares_DRAFT.pdf*; your lawyer must review it before it is signed. The blank PDF forms in the investors/forms folder still show the old wording until they are regenerated.

4. The honest numbers (assumed fare ETB 120; Etel earns 5% = ETB 6 a trip)

Trips / day	Revenue / month	Net profit, today's costs (17,667)	Net profit, full team (150,000)
100	18,000	333	-132,000
400	72,000	54,333	-78,000
800	144,000	126,333	-6,000
1,500	270,000	252,333	120,000

- **Break-even:** about 99 trips a day on today's costs; about 834 a day with a full team.
- At 1,500 trips a day with a full team, 100 shares (ETB 100,000) earn about ETB 3,000 a month on the pitch's calculation. That is roughly 33 months to pay back, before any unsold-share bounce.
- Tell investors plainly: **this is a growth bet, not a quick payback.** The upside is volume and the other Etel services later. Do not promise a payback date.

"Today's costs" = rent 6,000 + customer service 10,000 + yearly 20,000 ÷ 12. The full-team number (150,000) is an assumption; replace it with your real plan.

5. The launch plan (what the money does first)

- **Launch:** new drivers pay 0% commission for 60 days, then 2% for 30 days, then the standard 5% (set in Delivery Admin → Pricing → Commission).
- **Bonuses and referrals:** daily trip bonuses and driver-referral rewards, hard-capped by a monthly budget, with anti-farming rules and a Void button (Admin → Pricing → Incentives). Nothing is paid until you switch it on.
- **Rider discounts:** promo codes; their cost is counted automatically.
- **No investor payouts during the launch period.** The launch spending comes out of the raise, not out of profit.
- **Open books:** investors see the launch budget and what has been spent in their portal.

Use of the ETB 400,000 (proposed): Reserve 26% (104,000), Marketing 25% (100,000), Promotion 15% (60,000), Bonuses 12% (48,000), Referral 10% (40,000), Materials 12% (48,000).

The pitch says the launch ends after at most 3 months or at 150 trips a day for 4 weeks. The demo data uses 60 days. Pick one real rule and make the agreement say the same.

6. Slide-by-slide talk track (about 20 minutes)

#	Slide	What to say	Min
1	Cover	Who we are, what is on offer: a staged profit-share. One sentence only.	1
2	Problem	Riders do not know fare or driver, drivers lose time and have no earnings record, businesses cannot prove delivery. Use a Hawassa example.	2
3	Product	Five apps, one control room, already working. Offer a live demo on your phone.	3
4	Traction	Only show real numbers. In demo mode the slide is labelled "sample". If the real numbers are small, say so and show the growth plan instead.	2
5	How investors earn	Draw the four boxes: income − costs = profit, 20% to the pool, 2.5× until paid back. Use the ETB 100,000 example.	3
6	The raise, in stages	Price rises as trips per day rise. Stage 1 is open and cheapest. Profit-share rights, not ownership.	2
7	What it could look like	Say "illustrations, not forecasts". Walk the break-even: 99 trips a day on today's costs, about 834 with a full team.	3
8	Launch plan	Growth first. No commission for new drivers, bonuses, referrals, discounts, no payouts until the launch ends.	2
9	Use of funds	Six lines, mostly growth. Show the investor portal budget card.	2
10	The Etel Group	Delivery & Ride is the only company in this deal; the others are separate businesses.	1
11	How we protect you	Profit only, every number visible, read-only data link, signed agreement, honest risks.	2
12	Next steps	Read the deal sheet, choose shares, sign, receive portal login.	1

Order tip: open the live demo (portal and launch budget) after slide 9. Investors trust what they can click.

7. Questions investors will ask

"When do I get my money back?" There is no promised date. It depends on trips per day and costs. Show the table in section 4 and the boost (2.5× until paid back).

"What if there is no profit?" Then no payout, and you owe nothing. You can also receive less than you paid.

"Do I own part of Etel?" No. You hold a profit-share right in Delivery & Ride; the pool is 20% of net profit.

"Why is the price higher in later stages?" Risk falls as trips grow, so early money gets the lowest price.

"How do I know the numbers are true?" Trip data is read straight from the platform by a read-only connection; you get a statement each period and your own portal login.

"Where does my money go?" Mostly growth: marketing, bonuses, referrals, discounts, materials, plus a six-month reserve. The portal shows each line against its budget.

"Why no profit during the launch?" The goal is volume. Paying profit out while still buying growth would starve the launch. The plan caps the launch and the agreement states it.

"What stops drivers cheating the bonuses?" Minimum fare and distance, a limit per rider per day, a monthly budget cap, a per-driver cap, 3 different riders for referrals, and an admin Void button.

"Why 5% only?" 5% is low for drivers, which helps recruiting; the business case is volume and later services. Be ready to say what happens if the rate has to rise.

"What about the other Etel companies?" Not part of this deal. Stay on Delivery & Ride.

8. Say and do not say

- **Say:** "profit share", "illustration", "assumed", "if", "no promised payback date".
- **Do not say:** "guaranteed", "safe", "you will double your money", or a payback date.
- If Demo Mode is on, tell the room the figures are samples. Turn the demo off before you share real numbers.
- Do not quote the 5% commission in marketing material (your earlier decision); it is fine with investors.

9. Before your first meeting

1. Send the unsold-share clause draft to your lawyer so it goes into the Agreement.
2. Pick one launch-end rule (3 months / 150 trips a day, or 60 days) and make pitch, portal and agreement match.
3. Replace assumed numbers: real fare, real full-team cost, real traction.
4. Have a lawyer review the agreement, the launch clause and the "no payout during launch" wording.
5. Have a native Amharic speaker review the Amharic pitch.
6. Practice the demo: Clear demo, Create demo data, open the pitch, the portal and the launch budget.